

India Refineries: Carbon Compliance Is Now a Margin Event

A Bombay Breed intelligence brief for CFOs of obligated petroleum refinery entities

21

petroleum refineries
with mandatory GEI targets

64%

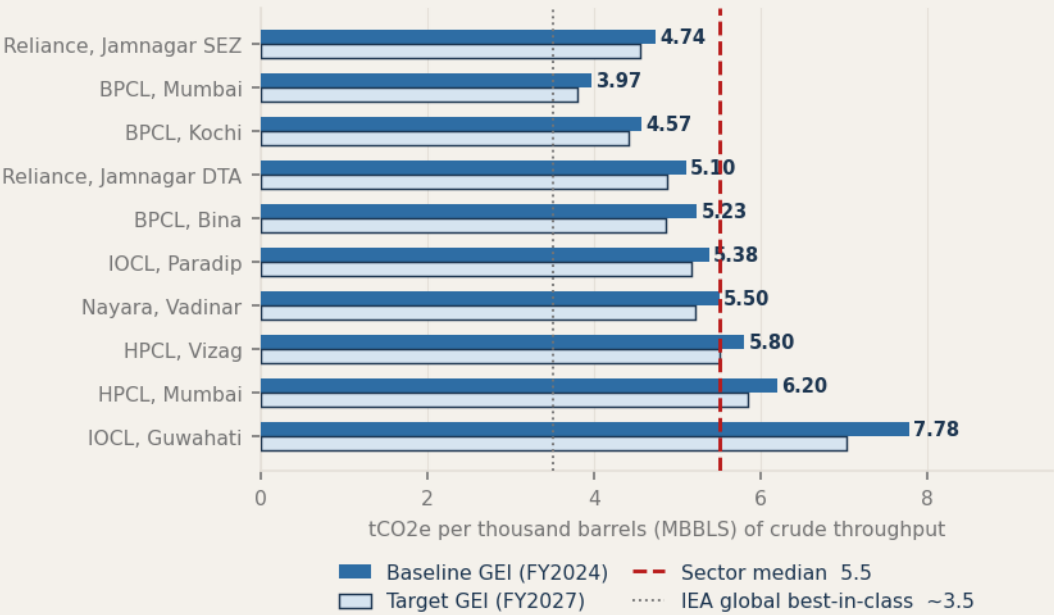
GEI spread:
best vs most carbon-intensive

2x

penalty multiplier
on credit shortfall

GEI LEAGUE TABLE: SELECTED PETROLEUM REFINERIES

Baseline (FY2023-24) vs target (FY2026-27), tCO₂e per thousand barrels (MBBLS) Source: MoEFCC GEI Target (Amendment) Rules, 13 Jan 2026



India's 21 CCTS-obligated refineries span a 64% GEI spread, from IOCL Guwahati at **7.78 tCO₂e/MBBLS** — a 1962-vintage plant constrained by furnace-oil dependence — to BPCL Mumbai at **3.97 tCO₂e/MBBLS**. Age, crude slate, and conversion depth drive the gap. Every decimal above target converts directly into a credit purchase obligation or an environmental compensation bill.

Refineries face a **4.2-5.5% GEI reduction** in FY2025-26, tightening to **approximately 5%** by FY2026-27. At Rs 830-1,000 per carbon credit, legacy refineries processing 50+ million barrels annually face exposure running to **tens of crores per compliance year**. Public-sector OMCs face additional scrutiny: BRSR disclosures must now reconcile with notified GEI baselines.

COMPLIANCE EXPOSURE PROFILE: 21 PETROLEUM REFINERIES

Estimated distribution. Source: MoEFCC Jan 2026; BEE CCTS Schedule



FOUR QUESTIONS YOUR CFO SHOULD BE ABLE TO ANSWER TODAY

- 1 What is your refinery-level GEI baseline for FY2023-24 against the notified CCTS schedule, and how does it compare to your peer group?
- 2 At current throughput volumes, what is the projected credit surplus or deficit for FY2025-26 and FY2026-27, and what is the INR exposure at prevailing credit prices?
- 3 Are your BRSR Scope 1 and Scope 2 disclosures reconciled with your CCTS-notified GEI baseline? Inconsistency carries material regulatory and investor risk.
- 4 When the Indian Carbon Market launches mid-2026, does your refinery have a trading strategy, or will you be a price-taker in a thin market?

HOW BOMBAY BREED WORKS WITH OBLIGATED REFINERY ENTITIES

- **GEI peer benchmarking:** your refinery vs. all 21 obligated entities in the CCTS schedule
- **CBAM advisory:** for refineries exporting petroleum products to the EU — dual-scheme positioning
- **Credit position modelling:** surplus or deficit in MBBLs and INR across FY2026 and FY2027
- **Carbon communications:** BRSR alignment, board narrative, and ICM launch investor framing

Request a full briefing: theresa.ronnie@bombaybreed.com · bombaybreed.com

Sources: MoEFCC Greenhouse Gases Emission Intensity Target (Amendment) Rules, 13 January 2026 (final gazette) | Bureau of Energy Efficiency (BEE) CCTS Compliance Schedule | IEA World Energy Outlook 2024: Refining | PPAC Monthly Report, January 2026 | Carbon credit pricing: BEE / market data FY2026